



Winding Tree

February 1, Rain or Shine



Maksim Izmaylov

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5 min read · Jan 20, 2018



We were working hard these past months on making sure we have a successful Token Generation Event.

As you know, we have closed a few new partnerships, including Lufthansa Group (6 airlines), Air New Zealand and Nordic Choice Hotels. We have a few conversations with hotel chains and airlines (which is our focus for now), and we have a lot of interest from hundreds of companies from all areas of travel, but we don't have resources to deal with them at the time (sorry guys!).

We also have been contacted by all sorts of intermediaries and wannabe middlemen, like payment gateways, bed banks, etc., that want to preserve their gatekeeper status. I hope you know what we tell them. Our goal is to maintain complete independence of the platform and not allow any potential for any company out there to dictate their rules when the platform reaches scale.

We're actively hiring. We'll be announcing a few new team members very soon. As of now, we stand 10-strong with a few more contractors. Send us a note to jobs@windingtree.com, if you're on the same page with us. We're

looking for developers (Python, Rust, JavaScript), web developers and designers, etc.

Our tech team has released a [hotel demo application](#) on the Ethereum testnet and started working with our airline and hotel partners on developing the roadmap for integrating them into the WT network. All our work, as you know, is open-source, so go ahead and check it out on our [GitHub](#).

As you know, we raised \$1.5M in our presale, but due to the rise of crypto, we now have about \$2.5M in our [multisigs](#). Since then, many investors offered us ridiculous sums of money (5,000–15,000ETH) on a condition of getting a discount from us and all these offers were rejected. We do not approve of backroom deals that make rich richer. Our goal is to create a truly democratized platform where everyone is equal.

Unlike other token projects, we've never participated in any accelerators, and we've never taken any backroom deal funding. Our backers are the community and no one else. We've never had any ridiculous bonuses given to our investor friends as many other projects have done. To date, we have about 700 backers that have a 20% bonus compared to the February 1, 2018, token sale price. The maximum bonus amount that we've had was 50%, and these people were the true believers of the project, they gave us money when we had absolutely nothing. We've only raised about \$50k on the 50% bonus agreement. After that, we've raised up to \$200k with 30% bonus, and the rest was 20% in the public pre-sale.

Legal Structure Update

We firmly believe that legal status of a token project is of utmost importance. It doesn't matter if your company has the best technology and the team if the jurisdiction that you are incorporated in thinks that you break the law.

Since the very beginning of Winding Tree, we were trying to find the right structure for the project. Some famous NY lawyers, very much involved in

crypto, even advised us to not establish an entity at all, which was sort of in line with our philosophy of following W3C in their footsteps (as you may know, they don't have a legal entity at all).

Another lawyer suggested a minimal setup that would protect people working on the project, i.e., an LLC (to protect the founders and other people involved), which we initially set up in British Virgin Isles. Why BVI? No corporate tax! Otherwise, we would have paid taxes on the sale of tokens, which is supposed to fund the development of the project.

After consulting a good number of attorneys all over the world (US, Singapore, Hong Kong), we arrived at the right structure, which would comprise of a non-profit foundation with a council that would be responsible for carrying out decisions about spending the money that we will have after the TGE. One of the recipients of those funds would be a company developing the core protocol, i.e. the original BVI LLC.

At first, we settled on Switzerland because a few other prominent blockchain projects incorporated as non-profit foundations, like Ethereum or Bancor. But right before our original TGE date, November 1st, 2017, FINMA, the Swiss financial regulator, issued a recommendation that all token projects should go through their review process. Our attorneys recommended us to postpone the TGE for three months, until February 1st, and to make sure that our project won't face any regulatory issues we had to comply with this request. FINMA didn't plan on such an influx of new projects and, unfortunately, they won't be able to finish the process until February 1st.

Here is an excerpt from our communication with the legal counsel in Switzerland:

FINMA shall release a public guidance on TGE with native/utility token within the next 3 weeks. Details are unknown, but it seems like TGE's shall continue to be allowed in the future. Thus Switzerland is likely to be the first jurisdiction with a clear guideline framework for TGE's issued by a regulator.

It seems a likely scenario that for some TGE's, AML regulations will be applicable. Again, no clear comment of FINMA as they did not want to release the content of the guidelines prior to publication.

The ruling request [we've submitted] will be responded to only after the guideline has been published. Thus, we do not expect to receive a response prior end February/early March.

... the speed FINMA is moving is unfortunately not in line with your timeline.

To conduct the TGE on time, our attorneys suggested moving the fundraiser to Gibraltar because that would allow us to move the funds back to the Swiss foundation when FINMA process is complete. Gibraltar has already issued a DLT legal framework and that jurisdiction is friendly to blockchain projects.

So, for the sake of transparency, here are all the legal entities involved:

Winding Tree Stiftung (Winding Tree Foundation)

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WT Limited

Start Chambers
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Road Town, Tortola, British Virgin Islands

Transparency

Transparency is everything, when it comes to building decentralized projects. In the next few blog posts, along with TGE instructions, we'll be posting more details about all the different aspects of our work. Stay tuned!

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Written by Maksim Izmaylov

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Responses (1)



Write a response

What are your thoughts?



Chris Linton

Feb 13, 2018

...

Thanks Maksim — really appreciate the transparency (on process and structures). This is leadership and best practice in action.



Reply.

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